BEFORE THE
STATE OF NEW YORK
PUBLIC SERVICE COMMISSION

In the Matter of

The Brooklyn Union Gas Company d/b/a National Grid NY &
KeySpan Gas East Corporation d/b/a National Grid

Cases 23-G-0225 & 23-G-0226

September 1, 2023

Prepared Testimony of:
Staff Revenue Requirements Panel

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Q. Members of the Staff Revenue Requirements Panel, please identify yourselves, your employer and your business address.

A. We are Christopher Logan, John P. Castano, Anthony DiGiacomo, Tshepo Simpson, Peter Lavery, and Stephen Powers. We are employed by the New York State Department of Public Service. Our business address is Three Empire State Plaza, Albany, New York 12223-1350.

Q. Mr. Castano, what is your position at the Department?

A. I am employed as an Auditor 2 (Public Utilities) in the Office of Accounting, Audits and Finance.

Q. Please describe your educational background and professional experience.

A. I graduated from the State University of New York Institute of Technology in 2013 with a Bachelor of Science in Accounting, and I graduated from the State University of New York Polytechnic Institute in 2022 with a Master of Science in Accountancy. I have been employed by the Department since September of 2014.

Q. Please briefly describe your responsibilities with the Department.

A. My responsibilities include routine examination of accounts, records, policies, and procedures of regulated utilities to ensure compliance with the Public Service Law, and the Commission's rules, regulations, and orders.

Q. Mr. Castano, have you previously submitted testimony in proceedings before the Commission?

A. Yes, I submitted testimony in the following rate proceedings: New York State Electric & Gas Corporation, Cases 15-E-0283 and 15-G-0284; Rochester Gas and Electric Corporation, Cases 15-E-0285 and 15-G-0286; KeySpan Gas East Corporation d/b/a National Grid, or KEDLI, Cases 16-G-0058 and 19-G-0310; The Brooklyn Union Gas Company d/b/a National Grid NY, or KEDNY, Cases 16-G-0059 and 19-G-0309; National Fuel Gas Distribution Corporation, Case 16-G-0257, Niagara Mohawk Power Corporation d/b/a National Grid, or Niagara Mohawk, Cases 17-E-0238, and 17-E-0239, and what is now known as Liberty Utilities (St. Lawrence Gas) Corp., Cases 18-G-0133, and 18-G-0140, and Case 21-G-0577.

Q. Mr. Logan, what is your position at the Department?

A. I am an Auditor 1 (Public Utilities) in the Office of Accounting, Audits and Finance.

Q. Mr. Logan, please summarize your education and work experience.

In 2012, I received a Bachelor of Science degree in Accounting and a Bachelor of Science degree in Finance from State University of New York (SUNY) New Paltz. I joined the Department in October 2019.

Q. Please briefly describe your responsibilities with the Department.

A. I am responsible for general accounting and ratemaking matters, including the examination of accounts, records, documentation, policies, and procedures of regulated utilities.

Q. Mr. Logan, have you previously submitted testimony in proceedings before the Commission?

A. Yes. Most recently, I testified before the Commission in the following Consolidated Edison Company of New York, Inc., or Con Edison, rate proceedings: Case 22-S-0659, Cases 22-E-0064 and 22-G-0065. Prior to that I testified before the Commission in the following Niagara Mohawk Power Corporation d/b/a National Grid rate

proceedings: Cases 20-E-0380 and 20-G-0381. In addition, I testified in the following Orange and Rockland rate proceedings: Cases 21-E-0074 and 21-G-0075.

Q. Mr. DiGiacomo, what is your position at the Department?

A. I am an Auditor 2 (Public Utilities) in the Office of Accounting, Audits and Finance.

Q. Mr. DiGiacomo, please summarize your education and work experience.

A. I received a Bachelor's degree in Business Administration, with a concentration in accounting from the State University at Albany in 2012. In August 2016, I joined the Department in the Office of Accounting, Audits & Finance.

Q. Please briefly describe your responsibilities with the Department.

A. My responsibilities include the examination of accounts, records, documentation, policies and procedures of regulated utilities.

Q. Mr. DiGiacomo, have you previously submitted testimony in proceedings before the Commission?

A. Yes. I provided testimony in Cases 17-E-0238, 17-G-0329, 20-E-0380, and 20-G-0381, Niagara

Mohawk Power Corporation, d/b/a National Grid, and in Case 21-G-0577, Liberty Utilities (St. Lawrence Gas) Corp.

Q. Mr. Simpson, what is your position at the Department?

A. I am an Auditor 2 (Public Utilities) in the Office of Accounting, Audits and Finance.

Q. Mr. Simpson, please summarize your education and work experience.

A. I graduated from Bentley College in May 2006 with a Bachelor of Science degree in Accountancy. I joined the Department in January 2007.

Q. Mr. Simpson, please briefly describe your responsibilities with the Department.

A. My responsibilities involve general accounting and ratemaking matters related to the companies regulated by the Commission. My direct responsibilities include the examination of accounts, records, documentation, policies and procedures of the utilities regulated by the Commission and, using that information, for the development of various analyses and recommendations to the Commission.

Q. Mr. Simpson, have you previously submitted testimony before the Public Service Commission, also referred to as the Commission?

A. Yes, I previously submitted testimony in Case 11-W-0020, Long Island Water Corporation d/b/a Long Island American Water; Case 11-E-0590, the Village of Rockville Centre; Cases 15-E-0283, 15-G-0284, 15-E-0285, 15-G-0286, 22-E-0317, 22-G-0318, 22-E-0319 and 22-G-0320, the New York State Electric & Gas Corporation and Rochester Gas and Electric Corporation; Cases 18-E-0067 and 18-G-0068, Orange and Rockland Utilities, Inc.; and Cases 19-E-0065 and 19-G-0066, Consolidated Edison Company of New York, Inc. In addition, I have participated in numerous municipal electric rate proceedings.

Q. Mr. Powers, what is your position at the Department?

A. I am employed as a Utility Analyst 1 in the Management and Operations Audit Unit of the Office of Accounting, Audits and Finance.

Q. Please describe your educational experience and professional background.

A. I hold a Bachelor of Arts in Political Science

from the State University of New York at Binghamton. I have been employed by the Department as a Utility Analyst since February 2017.

Q. Please briefly describe your responsibilities at the Department.

A. I am responsible for the oversight of management and operations audits, as well as the implementation of the resulting recommendations.

Q. Have you previously testified in a proceeding before the Commission?

A. Yes. I have testified in the rate proceedings for Niagara Mohawk Power Corporation in Cases 20-E-0380, and 20-G-0381.

Q. Mr. Lavery, what is your position at the Department?

A. I am employed as a Utility Analyst 2 in the Management and Operations Audit unit of the Office of Accounting, Audits and Finance.

Q. Please describe your educational experience and professional background.

A. I hold a Bachelor of Science in Business Administration from the State University of New York at Albany. I have been employed by the

Department since July 2015.

Q. Please briefly describe your responsibilities at the Department.

A. I am responsible for the oversight of management and operations audits, as well as the implementation of the resulting recommendations.

Q. Have you previously testified in a proceeding before the Commission?

A. Yes. I testified before the Commission in the Con Edison in Cases 16-E-0060 and 16-G-0061, 22-E-0064 and 22-E-0065, and 22-S-0659. I also testified in the rate proceeding of National Fuel Gas Distribution Corporation, Inc. in Case 16-G-0257, Central Hudson Gas & Electric Corporation in Cases 17-E-0459, 17-G-0460, 20-E-0428 and 20-G-0429, St. Lawrence Gas Corporation in Case 21-G-0577, and Veolia Water New York, Inc in Case 23-W-0111. In addition, I testified in the Matter of Eligibility Criteria for Energy Service Companies' evidentiary proceeding in Case 15-M-0127.

Scope of Testimony

Q. Panel, what is the scope of your testimony in this proceeding?

A. The Panel will set forth Staff's recommended overall revenue requirements for KEDLI and KEDNY (collectively, the Companies). In addition, we will address various issues, specifically consultants expense, hardware expense, software expense, labor expense, transportation expense, savings, uncollectibles expense, property tax expense, State and Federal income tax expenses, accumulated deferred income taxes, earnings base capitalization, or EBCAP, amortization of regulatory deferrals, reconciliation mechanisms, and management audit costs. We will also present the various recommendations regarding other initiatives.

Q. What is the Historic Test Year in these proceedings?

A. The twelve-month period ended December 31, 2022.

Q. What is the Rate Year in these proceedings?

A. The twelve-month period ending March 31, 2025.

Q. What is a Fiscal Year in these proceedings?

A. A Fiscal Year represents any twelve-month period ending March 31. For example, Fiscal Year 2024 represents the period from April 1, 2023 to March 31, 2024.

Q. Are you sponsoring any Exhibits?
A. Yes, we are sponsoring five Exhibits; Exhibit__(SRRP-1), Exhibit___(SRRP-2), Exhibit___(SRRP-3), Exhibit___(SRRP-4), and Exhibit___(SRRP-5).
Q. Please describe Exhibit___(SRRP-1) and Exhibit___(SRRP-2)?
A. Exhibit___(SRRP-1) is our Rate Year cost of service presentation for KEDNY and Exhibit___(SRRP-2) is our Rate Year cost of service presentation for KEDLI. Both consist of 11 schedules. Schedule 1 summarizes our projection of operating income, rate base and rate of return for the Rate Year ending March 31, 2025 and includes our proposed base rate increase. Schedule 1 is supported by Schedules 2 through 11. Schedule 2 is a summary of operating expenses. Schedule 3 is the calculation of taxes other than income tax. Schedule 4 is the computation of state and federal income tax. Schedule 5 is a summary of rate base. Schedule 6 is a summary of the capital matrix. Schedule 7 is a listing of Staff's adjustments. Schedule 8 is a summary of

depreciation and amortization expense, and amortizations of regulatory deferrals. Schedule 9 is the calculation of the interest tax deduction. Schedule 10 is the calculation of supplemental cash working capital. Schedule 11 is the summary of the historic earnings base versus. capitalization on December 31, 2022.

Q. Please describe Exhibit___(SRRP-3)?

A. Exhibit___(SRRP-3) includes the Information Request (IR) responses that we rely upon throughout our testimony. We will refer to these IRs by the number assigned by Staff, for example, DPS-50.

Q. Please describe Exhibit___(SRRP-4)?

A. Exhibit___(SRRP-4) is a compilation of workpapers that we created in calculating the adjustments referenced in our testimony. Exhibit___(SRRP-4) also summarizes the major drivers of the revenue requirement increases compared to existing rates, overall revenue requirement increases, base delivery and total revenue increases, and the various adjustments made to other initiatives.

Q. Please describe Exhibit___(SRRP-5).

A. Exhibit___(SRRP-5) contains the WorldatWork Salary Budget Survey which includes compensation escalation rate forecasts. WorldatWork is a non-profit human resources association and a leading compensation authority for professionals and organizations focused on compensation, benefits, and total rewards.

Summary of Revenue Requirements

Q. Please summarize KEDNY's requested revenue requirement.

A. In its April 28, 2023 initial rate filing, KEDNY requested a base revenue increase of $429.150 million. In its June 30, 2023 Corrections and Updates filing, as shown in Exhibit___(RRP-1CU) Summary page 2, KEDNY increased its total base delivery revenue increase request to $466.486 million.

Q. Please summarize Staff's recommendation regarding KEDNY's requested gas revenue requirement?

A. We recommend a base delivery revenue requirement increase of $389.541 million compared to KEDNY's $466.486 million base delivery revenue requirement increase. Staff's recommendation

results in a difference of approximately $76.945 million. Exhibit___(SRRP-1), Schedule 7, lists every adjustment DPS Staff witnesses and panels recommend the Commission institute in these proceedings, that results in Staff's overall revenue requirement recommendation, except for Staff's return on equity. Staff's revenue requirement reflects the impact of removing the Net Utility Plant, or NUP surcharge of $53.653 million as Staff also recommends removing this component from KEDNY's Rate Year revenue forecast, thus increasing the revenue requirement.

Q. Please summarize KEDLI's requested gas revenue requirement.

A. In its April 28, 2023 initial filing, KEDLI requested a base revenue increase of $232.601 million. In its June 30, 2023 Corrections and Updates filing, as shown in Exhibit___(RRP-1CU) Summary page 2, KEDLI increased its total base delivery revenue increase request to $277.257 million.

Q. Please summarize Staff's recommendation regarding KEDLI's requested gas revenue

requirement?

A. We recommend a base delivery revenue requirement increase of $219.859 million compared to KEDLI's $277.257 million base delivery revenue requirement increase. Staff's recommendation results in a difference of approximately $57.398 million. Exhibit___(SRRP-1), Schedule 7, lists all adjustments Staff's witnesses and panels recommend that results in Staff's overall revenue requirement recommendation, except for Staff's return on equity. Staff's revenue requirement reflects the impact of removing the NUP surcharge of $36.417 million and the Demand Capacity Surcharge Mechanism, or DCSM, of $7.395 million as Staff also recommends removing these components from KEDLI's Rate Year revenue forecast, thus increasing the revenue requirement.

Operations and Maintenance Expenses

Consultants

Q. How did KEDLI forecast consultants expense in the Rate Year?

A. KEDLI started with the Historic Test Year amount and then made normalizing adjustments to remove

costs associated with the Appreciate Program, and costs identified as part of the various Historic Test Year reviews. KEDLI then applied general inflation to arrive at a Rate Year forecast of $10.722 million for consultants expense.

Q. Do you agree with the Company's methodology?

A. In part. We agree with the normalizing adjustments made to the Historic Test Year but do not agree with increasing the normalized Historic Test Year amount by general inflation.

Q. Why does the Panel disagree with increasing the normalized Historic Test Year amount by general inflation?

A. While it is commonplace for utilities to forecast various Operations and Maintenance, or O&M, expenses by general inflation, we do not believe the recent trending supports such an adjustment for consultants expense in this proceeding. As shown in the Companies' response to DPS-371, KEDLI has experienced a decline in consultants expense for the last three years. More specifically, KEDLI has experienced roughly a 10 percent decrease in consultants expense

each year from 2020 to 2022. Given this current trajectory, we do not agree that increasing the normalized Historic Test Year amount by the general inflation rate is warranted.

Q. What does the Panel propose?

A. We propose eliminating the increase of general inflation to the normalized consultants expense Historic Test Year amount. This approach is conservative in nature, as there is evidence to support a negative growth rate based on the recent data; however, we understand consultants expense can vary year to year depending on the types of services needed. Therefore, absent a reliable forecast, the normalized historic test amount without the addition of inflation serves as a reasonable basis to forecast the Rate Year.

Q. Please quantify your adjustment.

A. Our adjustment reduces KEDLI's forecasted consultants expense by $0.663 million, resulting in a Rate Year forecast of $10.060 million.

Hardware

Q. How did the Companies develop their Rate Year forecast of hardware expense?

A. As shown in Exhibit___(RRP-3CU), Schedule 5,

KEDNY began with the Historic Test Year expense of $0.901 million, and then applied inflation to arrive at a total Rate Year forecast of $0.960 million. As shown in Exhibit___(RRP-3CU), Schedule 5, KEDLI began with the Historic Test Year expense of $0.508 million, and then applied inflation to arrive at a total Rate Year forecast of $0.541 million.

Q. Does the Panel have any adjustments to hardware expense?

A. Yes. We recommend an adjustment to KEDNY and KEDLI relating to the expenses incurred from the vendor IBM Corp.

Q. How does the level of expense incurred from IBM Corp. in the Historic Test Year compare to previous years?

A. As shown in the response to DPS-430, in calendar years 2018, 2019, 2020 and 2021, KEDNY did not incur a single charge for IBM Corp. In the Historic Test Year, KEDNY incurred charges of $0.586 million. As also shown in the response to DPS-429, in calendar years 2018, 2019, 2020 and 2021, KEDLI did not incur a single charge for IBM Corp. In the Historic Test Year, KEDLI

incurred charges of $0.279 million.

Q. Why did the Companies incur charges from IBM Corp in calendar year 2022 and not in the recent prior years?

A. According to the Companies' responses to DPS-785 and DPS-786, the Companies stated IBM Corp provided platform/infrastructure as a service for their Maximo production and product support. Additionally, they stated the costs in calendar year 2022 are "anticipated to continue through the Rate Year".

Q. Have the Companies' incurred charges from IBM Corp beyond the Historic Test Year?

A. No. According to the responses to DPS-952 and DPS-953, the Companies have not incurred any charges from IBM Corp from January 2023 to July 2023.

Q What does the Panel recommend?

A. We recommend removing the charges from IBM Corp as they are a non-recurring expense. Absent any explanation for the significant variability, or a valid reason why the high costs incurred in the Historic Test Year are expected to continue, it is not reasonable to use the Historic Test

Year expense as a basis for the Rate Year forecast.

Q. Please quantity your adjustment to hardware expense.

A. Removing the charges from IBM Corp plus inflation results in a reduction of $0.625 million to KEDNY and $0.298 million to KEDLI hardware expense.

Software

Q. How did the Companies develop their Rate Year forecast of software expense.

A. As shown in Exhibit___(RRP-3CU), Schedule 6, the Companies began with the Historic Test Year expense of $20.952 million for KEDNY and $11.868 million for KEDLI. The Companies made normalizing adjustments based on the Historic Test Year cost review. The Companies then applied inflation to arrive at a total Rate Year forecast of $20.991 million and $12.462 million for KEDNY and KEDLI, respectively.

Q. Does the Panel have any adjustments to software expense?

Q. Yes. We recommend an adjustment to KEDNY and KEDLI relating to the expenses incurred from

Microsoft Corporation.

Q. How does the level of expense incurred from Microsoft Corporation in the Historic Test Year compare to previous years?

A. The charges incurred in previous years varied significantly but were generally much lower than the amounts incurred during the Historic Test Year. As stated in the Companies' response to DPS-356, as shown in Exhibit___(SRRP-3), in calendar years 2018, 2019, 2020 and 2021, KEDNY incurred charges of $0.121 million, $0.917 million, $1.213 million, and $0.388 million, respectively. In the Historic Test Year, KEDNY incurred charges of $1.287 million. According to the Companies' response to DPS-357, in calendar year 2018, 2019, 2020 and 2021, KEDLI incurred charges of $0.059 million, $0.447 million, $0.681 million, and $0.224 million, respectively. In the Historic Test Year, KEDLI incurred charges of $0.760 million.

Q. What reason did the Companies give for the large increase in charges from Microsoft Corporation from calendar year 2021 to calendar year 2022?

A. According to the response to DPS-498, in 2022,

the Companies fully transitioned from the out of the box Microsoft Office suite offering with application support to the subscription-based Microsoft Office 365 product with application support.

Q. When was this transition fully implemented?

A. According to DPS-799, the transition to Microsoft Office 365 began in Fiscal Year 2017 and was completed in Fiscal Year 2022, which occurred during the Historic Test Year. However, With the transition reaching completion in the Historic Test Year, the Companies did not identify whether these transition costs would continue beyond the Historic Test Year or whether the Companies would experience a similar transition, whereby the Companies would incur a similar level of these costs. More specifically, in response to DPS-498, the Companies stated that the services provided by Microsoft Corporation in the Historic Test Year and the Rate Year are "anticipated to be the same".

Q What does the Panel recommend?

A. We recommend basing the Rate Year projection of

expenses for software expense for this vendor on a five-year average.

Q. Why is basing the Rate Year forecast of these costs on the Historic Test Year not reasonable?

A. It is unreasonable for two reasons. First, the amounts incurred from Microsoft Corporation have varied significantly over the last few years. From calendar year 2018 to calendar year 2022, the costs ranged from $0.121 million to $1.287 million for KEDNY and $0.059 million to $0.760 million for KEDLI. Absent any reasonable explanation as to why the amount of costs incurred in the Historic Test Year are expected to continue, it is not reasonable to use the Historic Test as a basis for the Rate Year forecast.

Q. What is the second reason?

A. The Companies identified the transition to Office 365 as a reason the amounts incurred during the Historic Test Year exceeded prior years. However, that transition was completed during the Historic Test Year and, as such, it is not reasonable to expect these high levels of costs to continue into the Rate Year.

Q. Why is it reasonable to use a multi-year average to forecast these expenses?

A. The use of a multi-year average smooths out variations in costs from year to year, producing a more reasonable Rate Year forecast.

Q. Please quantity your adjustment to software expense.

A. We calculated a five-year average of costs for this vendor based on the amounts incurred in calendar years 2018, 2019, 2020, 2021, and the Historic Test Year. We then applied inflation to arrive at a Rate Year forecast of $21.524 million for KEDNY and $12.151 million for KEDLI. This reduces software expense by $0.467 million and $0.311 million for KEDNY and KEDLI, respectively.

Labor

Q. Do you have any adjustments to the Companies' Rate Year labor expense forecast?

A. Yes. We recommend two adjustments to the Companies' Rate Year labor expense forecast. The first adjustment relates to KEDNY's and KEDLI's understaffing levels for the operating companies. The second adjustment relates to the

wage increase for management employees, which we will discuss in more detail later in our testimony. Exhibit___(SRRP-4) provides our calculation of the two adjustments.

Q. Please explain your first adjustment related to understaffing levels.

A. First, to forecast employee headcount in the Rate Year, the Companies began with the labor headcount as of the end of the Historic Test Year and then made adjustments to reflect conditions anticipated in the Rate Year.

Q. Please explain the adjustments made to the Historic Test Year labor headcounts in order to establish a base for the Rate Year.

A. The Companies removed employees from management and union represented headcounts who are on long-term leave and not anticipated to return. Second, the Companies added the average headcounts for seasonal and temporary employees who were not captured in the December 31, 2022 employee headcounts.

Q. What are the Companies' adjusted headcounts for the Historic Test Year?

A. KEDNY adjusted its management Full-Time

Equivalent employees, or FTEs to 144, and bargaining unit FTEs to 1,278, for a total of 1,422. KEDLI adjusted its management FTEs to 101, and bargaining unit FTEs to 616, for a total of 717.

Q. Do you agree with the Companies' adjusted headcounts to establish the base for their Rate Year labor expense forecast?

A. No. While we agree with the Companies' adjustments to the Historic Test Year amount, an additional adjustment has to be made to recognize the Companies' historical understaffing.

Q. What do you mean by historical understaffing?

A. Generally, the Commission bases its approved labor expense on a certain level of headcount. However, in the Companies' last two rate cases, Cases 16-G-0058 and 16-G-0059, and 19-G-0309 and 19-G-0310, the Companies' actual headcounts have remained lower than the headcounts underlying the approved labor expense. Given this trend, an additional adjustment should be made to the adjusted Historic Test Year headcount to account for this understaffing.

Q. What would cause a company to experience lower than anticipated staffing levels?

A. Some causes include, but are not limited to, the following: (1) employees who retire, and their positions are not filled immediately because of the lag associated with finding a replacement; (2) employees leaving one company, for a position with another company, and their position not filled immediately; (3) an employee gets promoted, and the employee's previous position no longer exists, as the responsibilities are inherited in the promotion; (4) incremental positions get filled by existing employees, and the employees' previous positions do not get backfilled, or at least not immediately; and (5) terminations without immediate replacement.

Q. What was the operating Companies' headcount approved in the Companies' most recent rate plan?

A. The Commission issued its Order Approving Joint Proposal, As Modified, and Imposing Additional Requirements on August 12, 2021 in Cases 19-G-0309 and 19-G-0310, hereinafter referred to as

the 2021 Rate Order. In the 2021 Rate Order, the Commission approved a headcount of 1,561 for KEDNY and 786 for KEDLI.

Q. How did you calculate these headcounts from the Commission's 2021 Rate Order?

A. We began with the Companies' adjusted headcounts as of December 31, 2018, which served as the basis to forecast the Companies' labor expense at that time, or 1,469, and 705 for KEDNY and KEDLI, respectively. Then, we added the number of approved incremental FTEs, as authorized in the 2021 Rate Order, or 92 and 81 for KEDNY and KEDLI, respectively. Thus, the 2021 Rate Order authorized a total headcount of 1,561 for KEDNY and 786 for KEDLI. These headcount levels as approved in the 2021 Order are 139 and 69 more than the Companies' adjusted Historic Test Year headcounts, or 8.78 percent and 8.90 percent for KEDNY and KEDLI, respectively.

Q. Is the Historic Test Year a reasonable date to measure the Companies' actual headcount and compare it to the headcount authorized in the 2021 Order?

A. Yes. The Historic Test Year is three months

prior to end of the Companies' current rate plan. The Companies received rate recovery assuming all-incremental FTEs would start prior to, or on April 1, 2022. Therefore, the Historic Test Year serves a reasonable point of comparison.

Q. Has this understaffing been persistent?

A. Yes. As shown in the responses to DPS-328 and DPS-329, the Companies' headcounts on average from April 1, 2022 through July, 2023, were approximately 1,480 for KEDNY and 713 for KEDLI, or 81 and 73 FTEs less than what the Commission approved in the 2021 Rate Order, respectively. Thus, the Companies have been persistently receiving rate recovery for significantly more FTEs than they actually have.

Q. Do the Companies experience varying levels of headcount?

A. Yes. In response to DPS-644, the Companies state that they experience retirements, termination, and separations through the year, however, the Companies assert that there is no reason to believe that a snapshot of the Companies' payroll data at another point in time

would provide a more reasonable starting point for determining the level of labor expense that should be reflected in rates. The Companies also state selecting data from another point in time would be inconsistent with the historic test year concept as the basis for setting rates.

Q. What was the approved headcount from Cases 16-G-0058 and 16-G-0059?

A. The Commission issued its Order Adopting Terms of Joint Proposal and Establishing Gas Rate Plans on December 16, 2016 in Cases 16-G-0058 and 16-G-0059, herein referred to as the 2016 Rate Order. In the 2016 Rate Order, the Commission approved a total headcount of 1,517 for KEDNY and 768 for KEDLI.

Q. How did you calculate these headcounts from the Commission's 2016 Order?

A. We began with the Companies' adjusted headcounts as of September 30, 2015, which served as the basis to forecast the Companies' labor expense, or 1,281 and 662 for KEDNY and KEDLI, respectively. Then, we added the number of approved incremental FTEs from the 2016 Rate

Order. That Rate Order approved 236 incremental employees for KEDNY and 106 for KEDLI. Thus, the 2016 Rate Order authorized a total headcount of 1,517 for KEDNY and 768 for KEDLI.

Q. Did you perform a similar headcount analysis as a result of the 2016 Rate Order?

A. Yes. When comparing the total headcounts authorized in the 2016 Rate Order, to the adjusted headcount as of December 31, 2018, 1469 for KEDNY and 705 for KEDLI, KEDNY and KEDLI were understaffed by 48 and 63 FTEs, respectively, or 3.16 percent for KEDNY and 8.20 percent for KEDLI.

Q. Does December 31, 2018 serve as a reasonable date to measure the Companies' actual headcount compared to the headcount authorized in the 2016 Order?

A. Yes. As explained on pages 27 through 29 of the Direct Testimony of the Staff Revenue Requirements Panel in Cases 19-G-0309 and 19-G-G-0310, for KEDNY, all of the allowed incremental positions, with one exception, were hired as of October 2017. The one remaining position was filled as of May of 2018. For

KEDLI, all of the incremental positions, with one exception, were hired as of December 2017. The one remaining position was filled as of February 2018.

Q. What percentage do you recommend using to capture the anticipated understaffing levels to occur during the Rate Year?

A. We recommend using the average of the percentage differential calculated for the 2021 Rate Order and 2017 Rate Order, or 6.03 percent and 8.49 percent for KEDNY and KEDLI, respectively. Rather than reduce the Companies' headcount, which would require the determination of an average salary and the number of management and/or union employees, we recommend applying this average rate to the Companies' labor expense which serves as a reasonable proxy to capture the Companies' understaffing levels. Our recommendation results in a reduction to the Rate Year labor expense forecast of $5.350 million and $3.390 million for KEDNY and KEDLI, respectively.

Q. Do the adjustments to labor expense have an effect on other line items?

A. Yes, we have made flow-through adjustments to productivity and payroll tax expense as shown in Exhibit__(SRRP-4).

Incentive Compensation

Q. Please summarize Commission precedent regarding cost recovery of utility incentive compensation programs.

A. The Commission's requirements for incentive compensation cost recovery were set forth in the June 17, 2011 Order Establishing Rates for Electric Service in Case 10-E-0362, Proceeding on the Motion of the Commission as to the Rates, Charges, Rules and Regulations of Orange and Rockland Utilities, Inc. (O&R) for Electric Service. In the Order, the Commission explained that a utility must demonstrate that its total level of employee compensation, inclusive of incentive pay, is reasonable relative to peer companies. The Commission explained that utilities should demonstrate the reasonableness of their incentive pay plans by providing a compensation study of similarly situated companies. However, even if the utility produces a study showing that its compensation

is reasonably in line with that of its peers, the Commission also stated that an incentive pay plan will not be deemed reasonable if it includes performance targets that adversely affect ratepayer interests or are inconsistent with Commission policies.

Q. Please summarize the Companies' request for recovery of compensation elements for management employees in these rate filings.

A. The Companies propose to recover the full cost of their total compensation and benefits program for non-officer management employees. The compensation included in the proposed revenue requirements includes base salary, performance-based variable pay, and various other benefits. The compensation package is similar for officers; however, the Companies are not seeking to recover incentive pay for officers.

Q. Please describe the benchmarking study the Companies used to support their proposal in these rate filings.

A. The Companies hired a consultant, Willis Towers Watson, or WTW, to provide information concerning the overall competitiveness of their

management compensation and benefits package. The study examined the total compensation, inclusive of incentive pay, of 98 percent of National Grid management employees, as well as the value of the benefits provided to those employees. These National Grid management employees were compared to a benchmarked position derived from a peer group of companies.

Q. What did WTW conclude from this study?

A. Based on its study, WTW concluded that the cost of the total benefits program and compensation, including the variable component of non-officer management base compensation, health benefits, and supplemental retirement benefits, are appropriately incurred business expenses. WTW further stated that the costs enable the Companies to provide safe and reliable utility service to its customers.

Q. Did the Panel review the Companies' benchmarking study and methodology?

A. Yes. The Companies provided the supporting documents to the WTW study in Exhibits__(HRP-01) through (HRP-04).

Q. What standard is used to determine whether a

utility's benefits and compensation package is market competitive?

A. The WorldatWork Handbook of Compensation, Benefits & Total Rewards: A Comprehensive Guide for HR Professionals is a widely accepted authority. According to the WorldatWork Handbook, the value of compensation and benefits paid to a Company's employees should fall within plus or minus 10 percent of the market median. This generally accepted criterion referenced in the WorldatWork Handbook has been used by DPS Staff to evaluate compensation benchmarking results in numerous prior rate cases before the Commission.

Q. Does the Panel agree that the benchmarking study satisfies this standard?

A. Yes. We reviewed the benchmarking study and confirmed that management's total cash compensation and benefits are 98 percent of the market median, thus within the reasonable range of plus or minus 10 percent.

Q. Which companies were included in the peer group used to analyze the competitiveness and reasonableness of the Companies' annual

compensation package value?

A. WTW selected a peer group consisting of 38 utility peer companies and general industry peers. The peer group listing was provided in Exhibit___(HRP-02).

Q. Do the companies selected for the peer group provide a reasonable comparison for purposes of this study?

A. Yes. The Companies' response to DPS-505, confirms that the Companies hire employees who previously worked in both general industry and at other utilities. The peer group reflects the mix of companies KEDLI and KEDNY compete against for their management workforce talent, and therefore, serves as a reasonable comparison for the compensation levels of KEDLI and KEDNY employees.

Q. Please describe the performance targets in KEDLI and KEDNY's management variable pay plan.

A. The Companies' management variable pay plan is based on goals related to both corporate and employee performance. The Companies' corporate performance goals, referred to as US Focus Areas, are related to enabling the energy

transition for all customers, delivering for National Grid's customers efficiently, growing organizational capability, and empowering employees to achieve great performance. The Companies' performance goals are weighted 60 percent for US Focus Areas, and 40 percent for individual objectives for non-officers. On page 10 of the Companies' Human Resources Panel's direct testimony, the Companies state that variable pay is based on both the overall corporate performance and the performance of each individual employee in achieving goals in the areas of customer satisfaction, safety, and reliability.

Q. Does Commission precedent require a review of the Companies' incentive pay plan performance targets?

A. Yes. A utility should confirm that the incentives will support the provision of safe and adequate service and will have no potential to adversely affect ratepayer interests or to promote results that are inconsistent with Commission policies.

Q. Do the performance targets in the Companies'

incentive program promote results that are consistent with Commission policies?

A. Yes. As previously discussed, management variable pay is predominately focused on goals related to enabling the energy transition, delivering safe and reliable, and efficient services, growing organizational capability, and empowering employee performance as opposed to financial-based goals, which is consistent with Commission policies.

Q. Do the Companies' performance targets promote results that are potentially averse to ratepayer interests?

A. No. The Companies' incentive compensation program maintains its focus on goals related to safety, reliability, customer service, and the environment, which is consistent with Commission policies.

Q. Have the Companies satisfied the Commission's requirements for including incentive compensation for non-officer management employees in rates?

A. Yes. The Companies have demonstrated that their incentive compensation plan will provide

benefits to ratepayers as the incentive plan targets align with customer interests. Also, the Companies have demonstrated that their total compensation remains in the zone of reasonableness as compared to similarly situated peer companies and that its targets are not averse to ratepayer interests.

Management Wage Escalation Factor

Q. What factor did the Companies use to project management wage increases?

A. As stated on page 35 of the Human Resource Panel's direct testimony, for management employees, the Companies' Rate Year forecast includes a 4.0 percent merit increase, plus an additional 0.5 percent increase for management career path progressions, effective July 1, 2023. The Companies forecast annual 4.0 percent merit increases on July 1st of each subsequent year.

Q. Are these management wage escalation rates reasonable?

A. According to the WorldatWork organization's 2023 forecast of "Total Salary Budget Increases, by Employee Category" a 4.0 percent escalation rate

is appropriate for management employees across the United States. The WorldatWork forecast is provided in Exhibit___(SRRP-5).

Q. Does the Panel recommend any adjustments to the Companies' Rate Year forecast of management wage increases?

A. Yes. We recommend removing the 0.5 percent increases related to career path progressions as this increase exceeds the 2023 WorldatWork Salary Budget forecast. This adjustment reduces Rate Year labor expense by $0.413 million for KEDNY, and $0.251 million for KEDLI.

Transportation

Q. What comprises KEDNY's forecast of Rate Year transportation expense?

A. The majority of costs associated with transportation expense pertain to: (1) lease expense; (2) motor fuel; and (3) other expenses. As shown in Exhibit___(RRP-3CU), Schedule 24, page 1, the Company forecasted Rate Year transportation expense of $9.009 million.

Q. Do you recommend adjusting KEDNY's forecast of Rate Year transportation expense?

A. Yes. We recommend adjusting the lease expense

forecast.

Q. Please explain how KEDNY derived the lease expense component of transportation expense.

A. As shown in Exhibit___(RRP-3CU), Schedule 24, KEDNY began with the Historic Test Year total lease costs of $5.657 million. The Company adjusted its Historic Test Year amount for its anticipated fleet additions, replacements, and retirements from the end of the Historic Test Year through the Rate Year. The Company then reflected a credit for its forecast of gains from vehicles sold at auction. For KEDNY, this resulted in a net increase of $5.642 million, for a forecast of Rate Year lease expense of $11.299 million. Of this amount, $5.613 million was allocated to operating expense, and $5.686 million allocated to capital.

Q. How much of KEDNY's forecast of Rate Year lease expense represents new vehicle leases, which replace existing vehicles?

A. Referring to the Company's response to DPS-309, as shown in Exhibit___(SRRP-3), KEDNY forecasts $6.653 million for new vehicle leases to replace existing vehicles.

Q. How many vehicles does KEDNY anticipate replacing from the end of the Historic Test Year through the Rate Year?

A. Referring to the Company's response to DPS-313, from January 2023 through March 2025, a 2.25-year period, KEDNY anticipates replacing 550 vehicles. KEDNY plans to replace 226 in calendar year 2023, 302 in calendar year 2024, and 22 during the first three months of calendar year 2025.

Q. How does this level of anticipated vehicle replacement compare to prior years?

A. According to the response to DPS-311, KEDNY replaced 37 vehicles in 2020, 70 vehicles in 2021, and 168 vehicles in 2022, or a total of 275 vehicles over a three-year period. Thus, KEDNY proposes replacing double the number of vehicles in a 2.25-year period than it replaced in this most recent three-year period.

Q. How many vehicles has the Company replaced during the calendar year 2023 through July 2023?

A. Referring to the August 2023 response to DPS-530, 89 vehicles were placed in service. The replacement of 96 vehicles have been delayed,

and KEDNY plans to push the placement of 44 vehicles to calendar year 2024.

Q. Why are the Companies seeking a significant increase in replacements in comparison to what has occurred over the most recent three-year period?

A. As stated on page 96 of KEDNY's Gas Infrastructure and Operations Panel's, or GIOP, direct testimony, the impacts of the COVID-19 pandemic and supply chain constraints limited the Company's ability to replace its aging fleet. Vendor cancellations and schedule delays artificially lowered KEDNY's Historic Test Year lease expense due to an influx of expired leases without replacements. The Company intends to stay in line with its planned replacement schedules to restore reliability of its fleet.

Q. Do you agree with the Company's forecasting methodology of vehicles to be replaced?

A. While we recognize the need for KEDNY to replace vehicles based on planned lifecycles and replacement schedules to ensure reliability, the Company has not historically demonstrated the ability to replace vehicles at the volume

proposed. Additionally, the Company's lease agreements allow for the continued use of vehicles with expired leases, many of which KEDNY maintains and utilizes in its current fleet.

Q. What do you recommend for establishing the Rate Year projection of vehicle replacements?

A. Given the circumstances that constrained replacements during the calendar years 2020 and 2021, we recommend using the vehicles replaced during the Historic Test Year totaling 168 as a basis for an annual projection, prorated to a 2.25-year period or 378 replacements in total. This provides a consistent basis of replacements that the Company will be able to achieve and accounts for any delays in the Company's anticipated replacement schedule.

Q. Please quantify your adjustment.

A. Our adjustment reflects the forecast of 387 vehicle replacements through the end of the Rate Year, resulting in a reduction of 163 vehicle replacements. We calculated the average annual leasing cost per vehicle by dividing the total forecasted Rate Year cost of new leases due to

planned replacement of $6.653 million by the forecast of 550 new leases. This resulted in an annual average leasing cost of $12,097 per vehicle. We then multiplied this annual average cost per vehicle of $12,097 by our forecast of 378 vehicle replacements, which resulted in a total of $4.572 million, or a downward adjustment to lease expense of $2.081 million. Of this amount, $1.034 million is allocated to expense.

Q. Should a corresponding adjustment be made to auction proceeds?

A. Yes. Since we reduce the number of vehicles being replaced, we also need to adjust the projection of auction proceeds. The projected auction proceeds, as a percentage of the new leases due to planned replacement, is 16.54 percent. Therefore, we applied the 16.54 percent factor to our forecast of lease expense, which results in auction proceeds of $0.756 million, compared to KEDNY's forecast auction proceeds of $1.101 million, or a difference of $0.344 million from KEDNY's forecast. Of this amount, $0.171 million is allocated to expense.

Q. Please summarize your adjustments to transportation expense.

A. Our adjustment to reflect our forecast of vehicle replacements reduces transportation expense by $1.034 million. We netted this adjustment against our corresponding adjustment to auction proceeds of $0.171 million, resulting in a net downward adjustment of $0.863 million.

Savings

Q. Please explain what the savings cost element represents.

A. In Fiscal Year 2022, National Grid undertook the Evolution Program, which it describes as an ambitious, three-year efficiency challenge. As described on pages 80 through 88 of KEDNY's Revenue Requirements Panel's direct testimony, the Evolution Program represents a variety of initiatives across its New York electric and gas business to spur more efficient operations. Some examples of these initiatives include: implementing digital strategies to increase customer self-service and enhance the overall customer experience; improving first call resolution centers; optimizing office space;

updating contract strategies to reduce contractor costs; and utilizing new technologies to drive field force efficiencies. Accordingly, KEDNY and KEDLI's revenue requirements reflect O&M savings, net of costs to achieve, associated with the initiatives that National Grid deems achievable and able to deliver customer benefits. Exhibit___(RRP-11), Workpapers to Exhibit___(RRP-3), Schedule 27, Workpaper 1, identifies the initiatives, the affected operating companies, and the savings, net of costs to achieve, allocated to KEDNY and KEDLI.

Q. How much savings did the Companies reflect in the Rate Year?

A. In total, KEDNY reflected $44.939 million of savings and KEDLI reflected $12.544 million of savings in the Rate Year related to the Evolution Program. The savings line item within O&M reflects a portion of these savings. The amount in O&M is the total savings identified through the Companies' Evolution Program that have not been reflected elsewhere in the revenue requirements reduced by one-fourth of the costs to achieve such savings. This totals $9.028

million for KEDNY and $4.008 million for KEDLI.

Q. Do you have any adjustments to savings?

A. Yes, we recommend disallowing recovery of the costs to achieve.

Q. What are the costs to achieve?

A. According to the Companies' response to DPS-283, the costs to achieve represent incremental employee costs that were not reflected in base rates established in the 2021 Rate Order to provide project management, training, and data analytic work; customer marketing, software and support expense data analytic work; and the costs associated with the Reservoir Woods early termination initiative.

Q. How did the Companies account for the costs to achieve in the rate case filing?

A. The costs to achieve totaled $7.554 million for KEDNY and $3.996 million for KEDLI. The Companies propose to amortize these amounts over four years to align with the benefits that customers will receive over the four-year term of the proposed rate plan. As previously stated, KEDNY and KEDLI propose netting one-fourth of the total costs to achieve amount

against the total Rate Year savings, or $1.888 million for KEDNY and $0.999 million for KEDLI.

Q. Why do you recommend disallowing recovery of the costs to achieve?

A. We recommend disallowing recovery of the costs to achieve for three reasons. First, according to the response to DPS-989, the Commission did not authorize the Companies to defer, nor did the Companies request the authority to defer, these costs. Without Commission approval to defer these costs, recovery should not be allowed.

Q. What is your second reason?

A. While the Companies are seeking recovery of the costs incurred during the previous rate plan to achieve such savings, they do not propose to provide customers with the associated savings experienced during that time, or to net such savings against these costs to achieve. In response to DPS-870, the Companies assert that customers have already received the benefit of these savings as the productivity adjustment established in the 2021 Rate Order; the Companies also argue that the cost to achieve

was needed to obtain the same one percent productivity adjustment.

Q. Does the Panel agree that customers received the benefit of these savings through the productivity adjustment established in the 2021 Rate Order?

A. No. The intent of the productivity adjustment is to capture unidentifiable and unquantifiable savings. Thus, the productivity savings would be separate and apart from the savings identified here by the Companies. Therefore, the Companies are specifically asking customers to pay the expenses associated with achieving the savings before the Rate Year; however, the Companies are not sharing any of the savings the Companies achieved before the Rate Year with customers.

Q. What is your third reason?

A. Since these costs have already been incurred and are tied to the Evolution savings initiative, they are one-time costs and will not recur during the Rate Year.

Q. Please quantify your adjustment to remove the costs to achieve.

A. Our adjustment increases savings, thereby reducing the revenue requirements, by $1.888 million for KEDNY and $0.999 million for KEDLI.

Uncollectibles

Q. What are KEDNY and KEDLI's forecasts of Rate Year uncollectibles expense?

A. As shown in Exhibit___(RRP-3CU), Schedule 31, the Companies' forecasted Rate Year uncollectible expense of $17.847 million and $8.806 million for KEDNY and KEDLI, respectively.

Q. How did the Companies develop their Rate Year forecast for uncollectibles expense?

A. As explained on page 66 of the Companies' Customer Panel's direct testimony, the Companies developed the Rate Year uncollectibles expense forecast by calculating a three-year average net write-off rate of 0.8388 percent and 0.6076 percent for KEDNY and KEDLI, respectively. The Companies then multiplied these rates by the forecasted Rate Year retail revenues to arrive at the forecasted Rate Year uncollectible expense.

Q. What three-year period did the Companies use to

calculate its net write-off rate?

Q. The Companies used calendar years 2017, 2018, and 2019 to calculate the net write-off rate.

Q. Why did the Companies utilize a three-year average to forecast uncollectibles expense?

A. As explained on page 67 of the Companies' Customer Panel's direct testimony, the Companies propose to use a three-year aggregated average because a multi-year average mitigates the impact of external factors that can occur in any given year. This includes the impacts of weather and the economy, which can have an acute effect on consumption and supply cost.

Q. Why did the Companies use calendar year 2017 through 2019 to forecast its net write-off rate?

A. The Companies explain that the prohibition of termination of customers for non-payment during the COVID-19 pandemic resulted in anomalous uncollectible rates during calendar years 2020, 2021, and 2022. Accordingly, the Companies assert that the level of uncollectible expense experienced over the most recent three-year period does not reflect a plausible estimate of the Companies' uncollectibles expense to be

experienced in the Rate Year. Therefore, the Companies utilized the calendar year 2017 through 2019 period to determine uncollectibles expense for the Rate Year.

Q. What were the net write-off rates KEDNY experienced in calendar year 2017, 2018, and 2019?

A. As shown in Exhibit___(RRP-CU), Schedule 31, KEDNY calculated net write-off rates in calendar year 2017, 2018, and 2019 of 0.8708 percent, 0.8428 percent and 0.8077 percent, respectively. Thus, from calendar year 2017 to 2018, and calendar year 2018 to 2019, KEDNY experienced a decline in its write-off rate of 3.2 percent and 4.2 percent, respectively.

Q. What was the change in the net write-off rate from calendar year 2016 to calendar year 2017?

A. As shown in the Company's supplemental response to DPS-801, KEDNY calculated net write-off rates in calendar year 2016 of 1.041 percent. Thus, from calendar year 2016 to calendar year 2017, KEDNY experienced a decline in its net write-off rate of 16.4 percent.

Q. Does the panel agree with the Companies'

methodology to forecast the Rate Year uncollectibles expenses?

A. Partially. We agree with the use of a three-year average for the proposed period for KEDLI. However, for KEDNY, we propose a modification to KEDNY's proposed three-year average to reflect an average of the annual decline in the write-off rate experienced during that period. Therefore, we recommend applying a three-year average of the annual decline in the net write-off factor experienced from calendar year 2016 to calendar year 2017, calendar year 2017 to 2018, and calendar year 2018 to calendar year 2019 to KEDNY's calendar year 2019, or a rate of 0.8077 percent.

Q. Is it reasonable to assume that KEDNY's net-write off rate will continue to decline?

A. Yes. First, the Companies have made, and continue to make, significant efforts in reducing uncollectible expenses. The Companies explain that KEDNY and KEDLI use a full suite of collection activities and strategies to manage the collection process and minimize uncollectible expenses, and that these

activities and strategies are employed throughout the Companies' delinquency management process. In addition, as explained in the response to DPS-292, KEDNY's conversion to the CSS customer system, which Staff supports, as described in our Consumer Services Panel, will enable the implementation of new tools that will help enhance the management of final and written-off accounts that have been referred to a collection agency.

Q. Did KEDNY impute the impacts of its conversion to the CSS customer system when forecasting its Rate Year net write-off rate?

A. No.

Q. Do the Companies anticipate their collection strategies will generally become more efficient over time?

Q. Yes. In fact, in response to DPS-292, the Companies responded that they "agreed that their collection strategies will become more efficient over time", explaining that they continually review results from such strategies and adjust these strategies accordingly. Therefore, given KEDNY's current collection practices, in

addition to the conversion to the CSS customer system, it is reasonable to assume the net write-off ratio will continue to decline year over year. Finally, and as discussed in the Staff Consumer Services Panel, Staff is recommending an incremental 20 collection FTEs. These FTEs will allow the Companies to enhance their collections and collection process even further. Accordingly, to more accurately forecast KEDNY's Rate Year uncollectibles expense, KEDNY's proposed uncollectibles net write-off rate should be adjusted to capture the average annual decline in the net write-off rate to forecast the Rate Year more accurately.

Q. Does the Panel recommend a similar adjustment for KEDLI?

A. No. KEDLI did not experience the year-to-year decline in net write-off rates as KEDNY did. As such, it is reasonable to use the three-year average rate as KEDLI proposed.

Q. Please quantify your adjustment.

A. A three-year average of the annual decline in the net write-off factor experienced from calendar years 2016 to 2017, 2017 to 2018, 2018

to 2019 is -7.9 percent. We applied this percentage to KEDNY's calendar year 2019 write-off rate of 0.8077 percent for a Rate Year net-write off rate of 0.7437 percent. Applying the net write-off rate of 0.7434 percent KEDNY's forecasted level of revenues results in a reduction to uncollectibles expense of $1.998 million.

Q. Do you have any other adjustments to uncollectibles expense?

A. Yes. For both KEDNY and KEDLI we adjusted the Companies' Rate Year forecast of uncollectibles accounts expense to reflect Staff's forecasted retail revenues. This results in is a decrease of $0.230 million from KEDNY's Rate Year forecast. For KEDLI, our adjustment results in a decrease of $0.374 million from the Company's Rate Year forecast.

Other Initiatives

Q. Is the Panel summarizing the adjustments to Other Initiatives?

A. Yes. The various Staff adjustments and recommendations regarding incremental FTEs, and incremental programs are reflected, and

summarized in Exhibit___(SRRP-4). The adjustments are also included in Staff's revenue requirements as demonstrated in Exhibit__(SRRP-1), and Exhibit___(SRRP-2).

Taxes Other Than Income Taxes

Property Tax

Q. How did the Companies forecast their property tax expense in the Rate Year?

A. The Companies started with the Historic Test Year amount and then made a normalizing adjustment to reverse any property tax deferrals that were recorded on their books. The Companies then updated the normalized Historic Test Year expense for known changes in the economic obsolescence, or EO, factor. Next, the Companies applied a growth rate of 11.35 percent for KEDLI and 11.37 percent for KEDNY for the fifteen-month bridge period from the end of the Historic Test Year to the start of the Rate Year. Finally, the Companies added the forecasted property tax expense associated with incremental additions to plant in service for the bridge period. The process of applying the growth factor and incremental plant additions

for the twelve-month period ending with the Rate Year were applied again to arrive at a Rate Year forecast. Based on this methodology, the Companies' forecasted Rate Year property tax expense of $310.307 million and $ $287.105 million for KEDLI and KEDNY respectively.

Q. Please describe economic obsolescence.

A. EO is the "loss of value of property caused by an impairment in desirability or useful life resulting from factors external to the property," as defined in Title 20 of the New York Code of Rules and Regulations, Part 8197-2.8(b).

Q. Please explain the EO process and how it affects property tax expense.

A. Utilities apply for an EO allowance by submitting a standard calculation to the Valuation Services Division of the New York State Department of Taxation's Office of Real Property Tax Services, or ORPTS. The calculation compares the five-year average of actual return on rate base to the allowed return on rate base. ORPTS then reviews the calculations and makes a formal determination of

the EO awarded to utilities. The EO allowance is applied as a percentage reduction to a utility's assessed special franchise property, which effectively reduces property tax expense.

Q. Explain the relationship between the EO and property tax expense.

A. They have an inverse relationship. Meaning the lower the EO factor, the higher the property tax expense. Conversely, the higher the EO factor, the lower the property tax expense.

Q. Did the Companies present their Historic Test Year property tax expense net of EO?

A. Yes, any EO percentage reduction that was authorized by ORPTS is embedded in the actual property tax presented by the Companies for the Historic Test Year.

Q. Did the Companies reflect any other adjustment related to EO?

A. Yes, the Companies received the ORPTS determination letter for the 2023 assessment roll prior to this base rate filing. In the determination letter, there was a decrease in the EO factor from three percent to zero percent for KEDLI and a decrease from 48.42 percent to

46.42 percent for KEDNY. As such, the Companies imputed a three percent and two percent decrease during the bridge period for KEDLI and KEDNY respectively.

Q. Does the Panel agree with the Companies imputing the reductions based on the updated ORPTS determination letters?

A. Yes, we verified the change to the ORPTS determination letter and agree with the adjustments.

Q. Do you agree with KEDLI's forecast of property tax expense?

A. No. We do not agree with KEDLI's growth rate of 11.35 percent.

Q. How did KEDLI calculate its growth rate?

A. KEDLI calculated its growth rate based on the three-year average of property tax growth experienced from Fiscal Year 2021 to Fiscal Year 2023. Inherent in KEDLI's growth rate, or a contributing factor to KEDLI's annual growth in property tax, is the decline in KEDLI's obsolescence. As shown in KEDLI's response to DPS-317, the obsolescence factor steadily declined from 25 percent to three percent over

the years, and this in EO, which increased KEDLI's annual property taxes, was included in KEDLI's proposed growth rate. However, as previously stated, KEDLI imputed an additional reduction of EO, from three percent to zero percent, to establish its Rate Year forecast of property tax expense.

Q. Why isn't KEDLI's proposed growth rate reasonable?

A. As previously discussed, KEDLI made a specific adjustment to forecast the Rate Year to reflect zero percent EO. In addition, since KEDLI's EO percentage cannot go below zero, applying a growth rate that factors in any decline in EO, inadvertently overstates KEDLI's expected growth factor, and thereby overstates KEDLI's Rate Year forecast of property tax expense.

Q. What growth rate should be used?

A. The growth rate should be based on KEDLI's changes in property tax expense excluding the percentage decline of EO, since KEDLI's base to forecast the Rate Year reflects zero percent EO.

Q. What is KEDLI's property tax expense growth rate exclusive of EO?

A. As shown in Exhibit__(SRRP-4), from Fiscal Year 2021 to Fiscal Year 2023, KEDLI experienced property tax expense, exclusive of EO, of $228.848 million, $224.082 million, and $247.823 million respectively, or an average increase of 4.07 percent. Therefore, we propose using this 4.07 percent growth rate to forecast KEDLI's Rate Year property tax expense.

Q. Please quantify your adjustment.

A. Our adjustment reduces KEDLI's forecasted property tax expense by $38.599 million, resulting in a Rate Year forecast of $271.708 million.

Q. Are you recommending the same modification to KEDNY's growth rate?

A. No. KEDNY's EO factor has remained relatively consistent over the last several years. For the years included in KEDNY's three-year growth rate of Fiscal Year 2021 to Fiscal Year 2023, the embedded obsolescence factors are as follows: 47.42 percent, 47.42 percent, and 48.42 percent. Accordingly, KEDNY's growth rate appropriately captures any change in obsolescence, and potential changes to be experienced in the

future, and reasonably forecasts property tax expense in the Rate Year.

Property tax Reconciliation

Q. Did KEDNY and KEDLI propose a property tax expense reconciliation in this case?

A. Yes. The Companies proposed a full symmetrical reconciliation of property taxes.

Q. Do you agree?

A. No. We are making recommendations for setting rates within the Rate Year only, therefore a reconciliation for the Rate Year is not necessary. In addition, we anticipate both KEDNY and KEDLI will update property taxes, if the changes are material, before the Commission authorizes new rates for the Companies. In the context of a one-year rate proceeding, the Rate Year forecasts represent a reasonable estimate of what will occur. As a result, there is no need to allow for a property tax reconciliation.

Federal and State Income Tax

Q. Explain how the Companies developed their federal and state income tax expense forecasts for the Rate Year?

A. The Companies developed their forecasts by

adjusting the operating income before income taxes for items that are treated differently for book and income tax purposes. Specifically, the Companies made adjustments for the 50 percent disallowance for meals expense and, for state purposes, flow through treatment for equity allowance for funds used during construction, or AFUDC, and book depreciation on equity AFUDC. The Companies then applied the statutory federal and state tax rates to the federal and state taxable income. Finally, the Companies adjusted federal and state income tax for two discrete amortizations to arrive at the net federal and state income tax expense in the Rate Year.

Q. Define the two discrete amortizations the Companies included in their forecasts.

A. The first amortization is related to the reduction in the state income tax rate from 7.1 percent to 6.5 percent. The second amortization was to reflect the impact of the Tax Cuts and Jobs Act, or TCJA, which reduced the federal income tax rate from 35 percent to 21 percent, for excess Accumulated Deferred Federal Income Tax, or ADFIT.

Q. Please describe the State Income Tax Rate Change amortization in more detail.

A. In 2014, New York State enacted a law reducing the income tax rate from 7.1 to 6.5 percent. The 2016 Rate Order issued in Cases 16-G-0058 and 16-G-0059 for KEDLI and KEDNY reflected estimates of the deferred tax impact of the tax rate change and amortized the balance over a ten-year period. Since the change in the state tax rate became effective, the Companies have adjusted the annual amortization to return the remainder over the balance of the 10-year period. The 2021 Rate Order reflected the amortization of the state tax effect over a 10-year period, or approximately $0.407 million and $0.412 million annually for KEDNY and KEDLI, respectively. As such, the Companies have proposed to continue this amortization in the Rate Year.

Q. Do you agree with the Companies' proposal to continue this amortization in the Rate Year?

A. Yes. It is appropriate to continue the amortization, which reduces the Companies' state income tax expense in the Rate Year.

Q. Please describe the amortization to reflect the impact of the TCJA for excess accumulated deferred federal income taxes in more detail.

A. The TCJA, among other changes, lowered the corporate federal income tax rate from 35 percent to 21 percent starting January 1, 2018. In December 2017, as a result of the TCJA, the Companies reduced their ADFIT accounts to reflect the change in the corporate income tax rate from 35 percent to 21 percent. As a result, the Companies recorded a regulatory liability associated with the excess ADFIT, in recognition that customers should receive the benefit of the lower corporate income tax rate on the accumulated book to tax temporary differences.

Q. Explain the nature of the excess ADFIT.

A. Under the Internal Revenue Service, or IRS, normalization rules, a utility is required to accrue deferred income tax to account for book/tax temporary timing differences. In ratemaking, a utility recovers in rates the income tax expense, both current and deferred, calculated at the statutory tax rate. Due to

these normalization rules, in the early years, the amount of tax paid to the IRS by a utility is generally less than the tax it collects from ratepayers. The TCJA's reduction of the corporate tax rate from 35 percent to 21 percent results in excess ADFIT and represents amounts the utility had collected from ratepayers to pay future taxes that, due to the reduction in corporate tax rates, will no longer be needed to satisfy future tax liabilities.

Q. Did the Companies separate the excess ADFIT balances into distinct categories?

A. Yes. The Companies separated the excess ADFIT balances into the following categories: protected plant, unprotected plant, net operating loss, and unprotected non-plant.

Q. Explain the difference between protected and unprotected deferred tax amounts.

A. A significant portion of the excess ADFIT is protected by IRS regulations and is related to plant investment and assets. According to IRS normalization rules, protected deferred taxes must be amortized over the remaining book lives of the assets that gave rise to the deferred

tax. Unprotected deferred taxes are the result of a difference between book depreciation and tax depreciation that are not related to depreciation method and useful life. For example, a Company may defer an expense on its books of record for future recovery from customers, but, for tax purposes, directly write off the expense in the period it was incurred. For these types of deferred taxes, the IRS does not require a particular disposition and rate at which these tax benefits amortize, or reverse, and the Commission then has discretion to determine the amortization of the unprotected excess ADFIT amounts.

Q. How do the Companies propose to amortize the excess ADFIT associated with the protected plant?

A. As previously indicated, the Companies are required under IRS normalization regulations to return the excess ADFIT associated with its protected plant over the remaining book lives of the assets. The Companies utilized the Average Rate Assumption Method, or ARAM, to calculate the proposed amortization period.

Q. How do the Companies propose to amortize the excess ADFIT associated with the unprotected plant?

Q. KEDNY proposes to continue to use an amortization period of five years, as established in the 2021 Rate Order in Cases 19-G-0309 and 19-G-0310 to return the unprotected balances to customers. As of the end of the proposed Rate Year, the entire balance of unprotected excess ADIT is expected to be returned to customers. KEDLI proposes to reduce the amortization period of 10 years, as established in the 2021 Rate Order, to five years.

Q. Do you agree with the Companies' proposal related to its unprotected plant?

A. Yes. The Companies' proposal results in the Companies returning to customers approximately $37.940 million for KEDNY, and $16.466 million for KEDLI, of excess unprotected plant ADFIT in the Rate Year. The Companies' proposal to continue the five-year amortization for KEDNY and adjust KEDLI's from 10 years to five years, to more closely align with KEDNY, equitably

balances the return of the excess unprotected plant to customers while being cognizant of the potential future rate impacts (i.e., volatility in rates) of returning the excess unprotected plant too rapidly to customers.

Rate Base

Accumulated Deferred Income Tax

Q. Do you have any adjustments to the Companies' Rate Year forecast of ADIT?

A. Yes. As discussed in the testimony of Staff Gas Infrastructure and Operations Panel, and Staff witness Paul J. Darmetko Jr., Staff is recommending changes to the Companies' Rate Year forecasted plant additions and depreciation expense for KEDNY and KEDLI. Therefore, we recommend adjusting the Companies' Rate Year forecast of ADIT to reflect the impact of these changes. Our adjustment reasonably estimates and serves as a proxy to capture the associated impacts to ADIT, and results in a decrease to KEDNY and KEDLI's forecasted ADIT by $5.024 million and $3.364 million, respectively. However, for any final plant-in-service and depreciation amounts determined for the Rate

Year, we recommend the Companies formally calculate the ADIT impacts.

Earnings Base Capitalization (EBCAP)

Q. Please explain the earnings base capitalization, or EBCAP, adjustment reflected in rate base.

A. The EBCAP adjustment aligns the utility rate base with its capitalization devoted to utility service. Utilities are allowed a return only on the capital devoted to utility service so that customers pay no more, and utilities recover no less, than the indicated return on the capital supporting utility operations.

Q. What is the capitalization used in the EBCAP?

A. Capitalization for the EBCAP represents funds provided by investors and customers supporting utility operations, on which utilities pay a return. Some examples of capitalization, as used here, include: common stock, retained earnings, advances from associated companies, and short-term debt. Accordingly, these items create a cost that must be recovered through utility rates. In addition, as capitalization supports all assets, it must be reduced for assets that are not part of utility operations.

Assets that are not part of utility operations, for which capitalization must be reduced, include assets such as temporary cash investments, non-utility property, internal reserves, and goodwill. In other words, for purposes of the EBCAP adjustment, capitalization could include more items than the term would usually imply when used generally to describe the utility's capital structure.

Q. Generally, why does a utility's rate base not equal its capitalization?

A. The causes of the EBCAP differential vary at each utility but are generally variations in cash flow items not in rate base, such as non-interest-bearing liabilities, or cost-free sources of funds, that support a utility's assets resulting from the timing of payments on accounts payable, sales, and other taxes payable. Another cause of the EBCAP differential may be imperfections in the estimation of cash working capital funding requirements.

Q. Is a utility's rate base supported entirely by cost-bearing capital, such as: common capital

stock, preferred Stock, retained earnings, long-term debt, and short-term debt?

A. No. Utilities have access to cost-free sources of funds, due to the delay of when the amount is recovered from customers, and the actual payment is made. Specifically, this results with accounts such as taxes payable and accounts payable. However, utilities do not pay a return, and have no capital cost associated with, accounts or taxes payable. Also, utilities provide cost free capital or use of funds to customers. For example, utilities do not receive a return on current customer accounts receivable for utility service. The net amount of these short-term cost-free capital requirements is usually referred to as working capital, which is included as a separate component in the utility's rate base.

Q. What is KEDNY's and KEDLI's Rate Year forecast of the EBCAP adjustment?

A. As shown on Exhibit___(RRP-7CU), Summary, KEDNY computed a Historic Test Year EBCAP adjustment that increases rate base by $212.241 million, and KEDLI computed a Historic Test Year EBCAP

adjustment that increases rate base by $187.447 million. The Companies then made a normalizing adjustment to the gas supply working capital allowance, which reduced KEDNY and KEDLI's EBCAP adjustment by $60.723 million and $31.718 million, respectively. However, the Companies made an offsetting adjustment to the working capital component of rate base and, thus, there is no impact of this adjustment on overall earnings base. KEDNY and KEDLI's normalized EBCAP adjustment amounts for the Rate Year are $151.517 million, and $148.724 million, respectively.

Q. Does the Panel have any adjustments to the Companies' EBCAP calculation?

Q. Yes, as explained in the Companies' response to DPS-983, the Companies inadvertently excluded non-cash accounts associated with the accounting for capital leases when determining the capitalization component of the EBCAP calculation. Thus, the Companies' EBCAP calculation is overstated. As shown in the Companies' response to DPS-983, the adjustment to EBCAP, and thus rate base, results in a

downward adjustment for KEDNY and KEDLI in the amounts of $24.186 million, and $0.917 million.

Regulatory Assets & Liabilities

Amortizations

Q. Explain KEDNY and KEDLI's proposed treatment for its deferral accounts.

A. For KEDNY, as described on pages 122-123 of KEDNY's Revenue Requirements Panel's direct testimony, to simplify KEDNY's balance sheet and relieve the administrative burden on the Company and Staff associated with tracking, reporting, and reviewing the accounts, KEDNY proposed netting several deferral account balances into one regulatory asset. As proposed, the net deferral account balance as of December 31, 2022, totaling $195.520 million, would be recovered in base rates over a 10-year amortization period. KEDLI, conversely, on pages 122-124 of its Revenue Requirements Panel's direct testimony, proposes netting several inactive deferral account balances into one regulatory liability. As proposed, the net deferral account balance as of December 31, 2022, totaling $41.072 million, would be

deferred for future disposition.

Q. Does the Panel agree with KEDNY and KEDLI's proposed treatment for the netting of certain deferral accounts?

A. We agree with the Companies' proposed netting of deferral account balances; however, we recommend that KEDLI amortize the regulatory liability over a five-year period. This pass-back or return to customer approach is consistent with KEDNY's proposal to amortize its net regulatory asset in base rates. However, this amortization would also help mitigate KEDLI customer bill impacts.

Q. How does the Panel's recommendation impact the Rate Year forecast for KEDLI?

A. Our recommendation to reflect KEDLI's net regulatory liability over a five-year amortization period results in a decrease to KEDLI's revenue requirement of $8.214 million.

Existing and New Reconciliation Mechanisms

Paving Expense Deferral - KEDNY

Q. Does the Panel agree with KEDNY's proposal to continue the reconciliation of paving expenses as shown on page 37 of Appendix A, from the

Company's Revenue Requirements Panel direct testimony?

A. No. We recommend that the Company's reconciliation of paving expenses be discontinued.

Q. How does KEDNY's paving expense under the Company's current rate plan compare to its forecast for the Rate Year?

A. In the 2021 Rate Order the Commission authorized a rate allowance of $24.278 million for the rate year ending March 31, 2023 for KEDNY. In these current proceedings, KEDNY forecasts a Rate Year paving expense of $15.592 million, a decrease of $8.686 million.

Q. Why do you recommend discontinuing KEDNY's paving expense reconciliation?

A. In Case 19-G-0309, the primary driver for the increase in KEDNY's paving expense was the change in the City of New York's paving regulations, which imposed significant requirements on the Company. As stated on page 22 of KEDNY's GIOP Panel's direct testimony, "[t]he operational and financial impacts of the Paving Rules have been fully realized over the

term of the current rate plan....”
Additionally, as shown on page 31 of Appendix A, KEDNY’s paving expense deferral as of the Historic Test Year has a credit balance of $26.478 million. The forecasted balance at the start of the Rate Year is a credit of $39.711 million. Given that the New York City paving regulations are no longer a factor of uncertainty in KEDNY’s Rate Year forecast and the Company’s deferral reflects a significant underspending of actual expenses, a paving expense reconciliation is unnecessary in the current proceeding.

Uncollectibles Expense Reconciliation

Q. Explain the Companies’ proposal regarding the uncollectibles expense reconciliation.

A. As described on page 70 of the Companies’ Customer Panel direct testimony, KEDNY and KEDLI are proposing a full reconciliation for uncollectibles expenses. The mechanism would reconcile the uncollectibles expense recovered in base rates against actual write-offs.

Q. What is the purpose of the Companies’ proposed reconciliation for uncollectibles expense?

A. As explained in the Companies' response to DPS-292, the purpose of the proposed reconciliation mechanism is to address the uncertainty with forecasting uncollectibles expense in the aftermath of the COVID-19 pandemic. The Companies argue that the prohibition of terminations of customers for non-payment during the COVID-19 pandemic resulted in anomalous uncollectibles rates during the 2020 through 2022 period. As a result, the Companies developed their Rate Year uncollectibles expense forecast using data from calendar years 2017-2019. While the Companies believe these years serve as a reasonable basis upon which to forecast the Rate Year expense, they assert that it is difficult to accurately project these costs.

Q. Does the Panel agree with the Companies' proposal for a full reconciliation of uncollectibles expense?

A. No. The Companies are seeking a single-year rate plan. As such, reconciliation mechanisms such as the Companies' proposal regarding uncollectibles expense, are generally not

employed. Expenses can be reasonably forecasted for one year and therefore the risk that exists in the context of a multi-year rate plan does not exist in a single-year rate plan. In addition, the Companies explain that the proposed reconciliation is necessary to address the uncertainty with forecasting uncollectibles expense in the aftermath COVID-19; however, the Companies confidently utilized a period prior to the COVID-19 Pandemic to forecast uncollectibles expense and has since resumed its customer termination practices. Furthermore, as stated above, the Companies can employ "a full suite of collection activities and strategies to manage the collection process and minimize uncollectible expenses".

Q. Do you have any additional comments on the Companies' proposal for an uncollectible expense reconciliation?

Q. Yes. In the event KEDNY and KEDLI's actual uncollectibles write-offs vary significantly from what was forecasted in rates, they have the ability to file a deferral petition with the Commission to seek authority to defer those

extraordinary expenses. Therefore, we recommend that the Commission should reject the Companies' request for this reconciliation mechanism.

Late Payment Charge Revenues

Q. Please explain the Companies' proposal regarding a late payment charge revenue deferral.

A. As stated on pages 20 and 21 of the Companies' Rate Design Panel's direct testimony, KEDNY and KEDLI propose to reconcile and defer the difference in late payment charge revenues included in base delivery rates and the actual revenue billed to customers.

Q. Why do the Companies believe that a reconciliation of late payment charge revenues is necessary?

A. The Companies' Rate Year late payment charge revenues are forecasted based on the ratio of Historic Test Year late payment charges to total revenues. The Companies propose a reconciliation due to: (1) the uncertainty of the ratio used to forecast late payment charge revenues and; (2) the effects on late payment charges from the Phase 1 and Phase 2 Electric and Gas Bill Relief Programs initiated in the

Commission's COVD-19 proceeding, Case 20-M-0266, beginning in June 2022.

Q. Does the Panel agree with the Companies' proposal for deferral treatment of late payment charge revenues?

A. No. We do not agree that a reconciliation for late payment charge revenues is appropriate in the context of a one-year rate proceeding as the Rate Year forecasts represent a reasonable estimate of what will occur and is consistent with pre-COVID-19 historical late payment charge ratios. The Companies have the option to file a deferral petition with the Commission to seek authority to defer their lost revenues, if actual late payment charge revenues vary significantly from what has been forecasted in rates. Therefore, we recommend that the Commission reject the Companies' proposal for this reconciliation mechanism.

Management Audit

Q. Did the Companies request recovery of any costs associated with the 2018 Audit?

A. No. Referring to page 7 of the Direct Testimony of Patric O'Brien, he indicates that there are

no management audit costs in the Historic Test Year.

Q. Have KEDNY and KEDLI included costs for conducting future management and operations audits in their revenue requirement?

A. No. Referring to page 7 of the Direct Testimony of Patric O'Brien, he explains that "KEDNY and KEDLI did not reflect any future audit costs in the Rate Year or Data Years because the timing of the next management and operational [sic] audit is unknown." However, he continues, "if the Commission were to undertake a future management or operational [sic] audit, the Company's expectation is that it would be able to defer those costs for future recovery."

Q. Does the panel agree with the Companies' request to defer the cost of a potential future management or operations audit?

A. Yes. Should the Commission initiate a management and/or operations audit in the Rate Year, we recommend the Commission grant the Companies authority to defer such potential audit costs.

Q. Does this conclude your testimony at this time?

A. Yes. Thank you.